

DAY 8: REDUCE CAR INSURANCE RATES

If you consider yourself a safe driver, paying enormously high insurance rates is almost offensive. Years of no accidents, no tickets, and no major catastrophes should count for something, right? But instead, you're rewarded with a policy that creeps higher and higher every year. One tiny fender-bender and your premium could jump from manageable to sky-high in a matter of days, and that's a lot of pressure when you're out on the road.

Thankfully, I haven't experienced any accidents besides the occasional tap, but I never expected our home in Upstate NY to flood, let alone drown my little red car "safely" parked in the driveway. After declaring our car a total loss, our insurance company gave us a very generous check to buy a new one, and I'm pretty sure we got our money's worth in premiums that year! Hondas do a great job of retaining their value, FYI.

While I wish we didn't have to experience losing a car, not to mention all the paperwork involved to file a claim and buy a new one, this is the perfect example of never knowing what *could* happen. Insurance companies bank on these what if's to figure out what to charge, and that's why it's vital to have good coverage despite the fact that you might not ever use it.

When it comes to shopping for car insurance, though, let's be honest—it's a huge inconvenience to call around for quotes, compare coverage, and make sure you're working with a company that has your best interest at heart. It's no wonder the minute you sign those final papers they go straight into the filing cabinet never to be seen or referenced again.

But that's when the real work begins. Saving on car insurance doesn't mean you set it up once and forget it. You have to continually review your policy to make sure you're getting the best rate possible. These six tips are the perfect place to start:

1. PAY YOUR PREMIUM IN FULL